

Week ending: 5th November 2021

Weekly Fixed Income Note

Key Highlights:

- T-bills were oversubscribed for the first time in ten weeks with the overall subscription rate increasing to **131.14%** compared to the **66.02%** recorded last week. This was partly attributed to liquidity easing in the market. The 364-day paper was oversubscribed with an overall subscription rate of **192.44%** while the 91-day and 182-day papers recorded a performance rate of **85.89%** and **87.95%.** With **the current fiscal year borrowing being 24.07% ahead of prorated target**, the CBK accepted all the **KES 31.474Bn** worth of bids**.** The yield continued their upward momentum edging up 5.7 bps, 6.8 bps and 13.5 bps for the 91-day,182-day and 364-day to close at **7.10%,7.55%** and **8.62%** respectively.

- The Central Bank is looking to raise **KES 50.0Bn** for budgetary support by issuing a new 5-year bond **FXD1/2021/5** whose coupon rate will be **market determined.** Similarly, the bank is reopening **FXD1/2019/20** with an effective period of 17.5 years and a coupon rate of **12.87%**. The period of sale is between 25/10/2021 to 09/11/2021. For more on the bidding guidance please our primary auction note by clicking here.

- In the secondary market, the value of bonds traded decreased by **43.04%** to **KES 13.52 Bn** from **KES 23.74 Bn** recorded last week. On a year-to-date basis the yield curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.57** taking the YTD loss to **0.95%.**

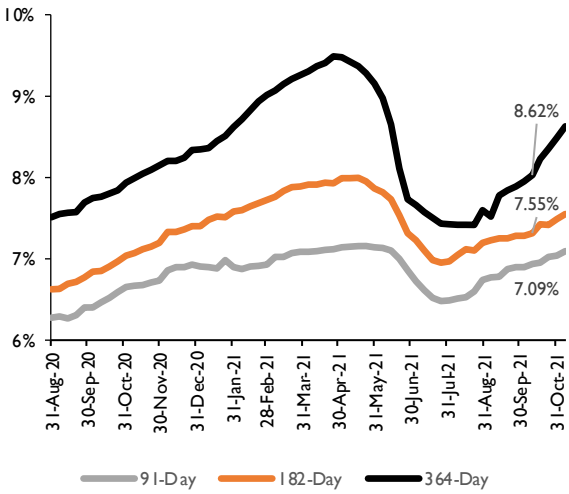
We expect activity in the secondary bond market to cool off owing to investors targeting primary bond issuances in November. Continued borrowing by the government is likely to exert upward pressure on rates.

Macroeconomic data	Current	Previous
GDP (2020 vs. 2019)	(0.30%)	5.00%
Inflation (October)	6.45%	6.91%
Private sector credit growth (August)	7.00%	6.10%
Money Supply (June)	6.30%	7.60%

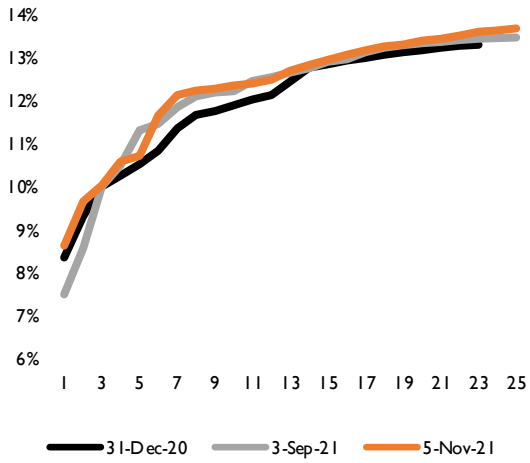
Key Indicators

	Current	Previous	% Change
91- Day	7.10%	7.04%	0.06%
182-Day	7.55%	7.49%	0.06%
364-Day	8.62%	8.49%	0.13%
Interbank Rate	4.73%	4.92%	0.19%

T-Bill Rates



NSE Yield Curve



MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the dollar this past week depreciating by **0.31%** to trade at **111.55** from **111.21** at the close of last week. The shilling has depreciated by **2.18%** against the USD on a Year-To-Date basis. The CBK's usable forex reserves currently stand at **USD 9,068** million (**5.54** months of import cover), a **1.17%** week-on-week decline from **USD 9,175** million (**5.61** months of import cover) recorded last week.

We expect the local currency to remain under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the market eased as reflected by the average interbank rate decreasing to **4.73%** from **4.92%** recorded in previous week.

We expect the interbank rate to remain near the region of 5.00%, for the coming week, mainly driven by aggressive open market operations by the CBK and the beginning of the monthly CRR cycle. However, we expect government payment to continue supporting inflows.

October PMI

The Stanbic Purchasing Managers Index (PMI) for the month of October 2021 increased to 51.4 from 50.4 recorded in September. The October reading, being the highest reading recorded in the last five months, indicates a modest improvement in business conditions attributed to robust rise in sales across service firms. Output growth also grew during the month with demand falling in the Agricultural and construction sectors while it remained unchanged in the Manufacturing sector. **We expect the easing of COVID-19 containment measures to drive activity in the coming months. However, the global supply chain constraints, higher tax charges and a rise in global fuel prices will continue exerting pressure on input cost and therefore weighing down on growth in the manufacturing sector.**

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